TENTATIVE RULING:*

Hearing required. Counsel to appear (by zoom is sufficient). The Court has received counsel's late-filed declaration and invites counsel's recommendations on how best to proceed.

11. 9:00 AM CASE NUMBER: MSC21-01668
CASE NAME: ANGELICA CURIEL VS. PRIVIA HEALTH GROUP, INC.
***HEARING ON MOTION IN RE: FINAL APPROVAL OF CLASS ACTION AND PAGA CONTINUED FROM 01.29.26 HEARING**
FILED BY:
TENTATIVE RULING:*

On January 29, 2026, the Court adopted its tentative ruling approving the settlement (with a reduced amount of attorney's fees), subject to confirmation by a declaration of the settlement administrator indicating whether any objections or requests for exclusion had been received since the January 15, 2026 deadline. A declaration was filed, stating that as of the deadline, no requests for exclusion and no objections are received.

The Court notes that the settlement administrator's declaration refers to deducting $1,938,000 being deducted from the gross settlement amount. The correct figure to be deducted, based on the Court's ruling, is $1,530,000. The difference goes to the Net Settlement Amount.

For the reasons stated in the January 29, 2026 ruling, the **motion is granted**. Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

12. 9:00 AM CASE NUMBER: MSC21-02363
CASE NAME: HALL VS. AMERICAN AUTOMOBILE ASSOCIATION
***HEARING ON MOTION IN RE: FINAL APPROVAL OF CLASS ACTION SETTLEMENT AGREEMENT SET BY THE COURTROOM**
FILED BY:
TENTATIVE RULING:*

Plaintiffs Keaton Hall, Michael Myers, Davion Frazier and Kelly McDaniel move for final approval of their class action and PAGA settlement with defendants American Automobile Association of Northern California, Nevada & Utah and A3 Smart Home LP.

A. **Background and Settlement Terms**

The original complaint was filed by Hall on November 3, 2021, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. Myers filed a PAGA complaint on August 16, 2023. On February 6, 2024, Myers amended his complaint to include class action allegations. On October 4, 2023, Frazier filed a similar class action complaint. On December 15, 2023, he filed a PAGA action. On May 19, 2025, the parties stipulated for leave to amend Hall's complaint, and it is now the operative complaint, including all of the claims at issue.

The settlement would create a gross settlement fund of $5,000,000. The class representative payment to the plaintiffs would be $10,000 each. Attorney's fees would be $1,750,000 (35% of the settlement). Litigation costs would not exceed $35,000. The settlement administrator's costs would not exceed $35,500. PAGA penalties would be $1,000,000. The net amount paid directly to the class members would be about $2,169,000. The fund is non-reversionary. The average net payment for each class member would be approximately $450, based on an estimated 4,800 class members. (The figures have now been revised to 5,198 class members (less 18 opt-outs), with an average payment of $410.)

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendants during the class period.

The class members will not be required to file a claim. Notice will be mailed to all members of the class, who would be given an opportunity to opt out of the settlement or to object. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable. Checks undelivered or uncashed 180 days after mailing will be voided, and the funds will be forwarded to the California Controller's Unclaimed Property Fund.

Since preliminary approval, notice has been provided to the class. The administrator mailed notice to 5,198 people. 13 notice packets were returned as undeliverable and remain undeliverable. 18 requests for exclusion have been received. No objections have been received.

The settlement contains release language covering "all claims, demands, rights, liabilities, and causes of action that were pled in the Operative Complaint in the Action, or which could have been alleged based on the factual allegations therein[.]" (Settlement, Par. 7.3, 5.2.) Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id*., quoting *Marshall v. Northrop Grumman Corp*. (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)
Informal and formal written discovery was undertaken. The matter settled after arms-length negotiations, including a session with an experienced mediator.

Counsel also has provided an analysis of the case, and how the settlement compares to the potential value of the case, estimating the recovery on the class claims relative to their potential values, breaking down the analysis claim-by-claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory."])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion for preliminary approval.

A. **Legal Standards**

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co*. (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction … to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra,* 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees[.]" (*Id*., at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that <u>*Neary*</u> does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

B. **Attorney fees, costs, administrative costs, and plaintiff incentive award**

Plaintiff seeks 35% of the total settlement amount ($1,750,000), as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id*., at 505.) For the final approval process, counsel have prepared a lodestar analysis. They have calculated a lodestar of $995,828.50, based on total hours of 1,285.5, which results in a blended hourly rate of about $775. The imputed multiplier is 1.76. Without necessarily endorsing the blended hourly rate, no adjustment to the fee is necessary. The fees are reasonable and are approved.

Litigation costs of $45,421.55 are reasonable and are approved.

Administrator's fees of $35,000 are reasonable and are approved.

The requested representative payment of $10,000 for each plaintiff is reviewed under the criteria for evaluation of representative payment requests discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807. Each plaintiff has filed a declaration attesting to their role in the case. They each attest that they took some risk of having their role as a plaintiff hurt future employment opportunities. Each signed a general release, although none indicate that they had any other claims of substantial value. Each attest to the number of hours they spent on the matter. (Frazier 50 hours, McDaniel 25 hours, Myers 35 hours, Hall 40-45 hours.) Considering the relevant criteria, including the size of the overall recovery, the request for $10,000 each is approved.

C. **Conclusion**

The Court finds that the proposed settlement is fair, reasonable, and adequate and **grants the motion for approval**. Counsel are directed to prepare an order reflecting this tentative ruling, as well as the other findings in the proposed order. They also are directed to prepare a judgment. The judgment must provide for a compliance hearing after the settlement has been completely implemented. It also should identify the 18 individuals who requested exclusion, so that if they ever bring an action, it is not difficult for them to establish that they are not bound by the settlement. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court. The compliance shall be determined in consultation with the Department 39 clerk, but shall be set for hearing in Department 16. As of March 1, 2026, this matter is assigned for all purposes to Department 16, the Honorable Benjamin Reyes.

Courtroom Clerk's Calendar

13. 10:00 AM CASE NUMBER: MS25-0288
CASE NAME: CLAYTON GARDENS VS. NATHAN PARSONS
HEARING ON SUMMARY MOTION
FILED BY:
TENTATIVE RULING:*

Appearances required. Pursuant to CRC 3.1351, opposition and reply may be given orally at the hearing. (The Court has received and reviewed plaintiff's opposition.) Accordingly, no tentative ruling will be issued.